

Trading 212 Portfolio Review

3 July - 3 August 2026 · valuation updated 6 August 2026

MONTHLY INVESTMENT JOURNAL

UPDATED ACCOUNT VALUE £2,009.30		CASH £0.56
ORIGINAL CAPITAL £1,999.00	SINCE INCEPTION +£10.30 +0.52%	LARGEST POSITION Gold 17.46%

MONTH IN ONE LINE *I made one deliberate purchase, avoided impulsive trading and finished with a clearer set of rules for the portfolio.*

A quiet month, then back above starting capital

When I first completed this review, the account was worth approximately £1,984 and was still just below my original £1,999 starting capital. The updated 6 August snapshot now puts it at £2,009.30: £10.30, or 0.52%, above where I began. I am pleased to be back above starting capital, but I am not treating a half-percent gain as a victory. The more important story is what happened underneath it: Microsoft rose sharply after I bought it, the index funds continued to support the account, Rheinmetall recovered from a much deeper loss, and gold remained the largest drag.

The account was unusually quiet from a trading point of view. My only purchase was £41.40 of Microsoft on 8 July. I received £0.56 from Realty Income and £0.03 of cash interest, with no sales, deposits or withdrawals. The month was shaped by one deliberate purchase and by leaving the rest of the portfolio alone. Five months in, I still believe a 10-15% first-year return is possible, but my minimum definition of success is clearer: protect the original capital and finish ahead of inflation.

Microsoft: good research, rewarded quickly

The best decision of the month was Microsoft. Among the largest technology companies, I believed it was undervalued and still had room to grow. More importantly, I had spent time looking at Azure and Microsoft's wider cloud business. I expected the latest results to be solid and saw Microsoft as a sensible place for the last of my available cash while retaining meaningful upside.

The results supported the business case. Microsoft reported quarterly revenue of USD 90.0 billion, Microsoft Cloud revenue of USD 59.3 billion, up 27%, and Azure and other cloud-services growth of 43%. The position, bought for roughly £41.40, is now worth £51.10, with Trading 212 showing a gain of £9.76 or 23.61%. That is an excellent result for one month, although it added only around half of one percent to the full portfolio. The earnings supported my view of the business, but one month of share-price performance is not enough to prove my valuation was correct. It would also be outcome bias to assume I should have sold Pershing Square to make the position larger simply because Microsoft rose.

I have considered selling approximately £10 worth of Microsoft, but the position began at only £41.40. A small sale would create too little cash to improve the portfolio meaningfully, while selling the whole position would remove exposure to a business in which my conviction remains strong. I may trim it if a better opportunity appears, but I currently have no business-based reason to sell. The useful lesson is that conviction should influence position sizing before a trade, not become regret after a good result.

Gold: the drag I am still willing to own

Gold remains the largest position at £350.65, or 17.46% of the account. It is down £58.05, or 14.20%, and remains the biggest drag on the overall result. Its size means progress elsewhere can be hidden by a modest move in gold. That is frustrating, but it has not changed my conviction. If I held the position's current value in cash, I would invest it

back into gold as long-term protection against geopolitical instability, inflation, currency debasement and declining confidence in conventional reserves.

There is evidence behind part of that thesis. The People's Bank of China added 33 tonnes in the second quarter of 2026, taking reported holdings to 2,346 tonnes. Central banks collectively bought 289 tonnes, a record for a second quarter, although first-half demand was the lowest since 2022. In the United States, official gold belongs to the Treasury; the Federal Reserve itself owns none. None of this means the price must rise every month. Gold can still provide long-term protection even when it disappoints over a shorter period.

My conviction still needs a limit. If gold reached around 30% of the account, I would rebalance it towards 15-20% and spread the proceeds across other holdings. That would mean selling roughly one-third to one-half of the position. I will judge it as one combined holding rather than separating newer units from older ones. I can remain convinced without allowing gold to dominate the portfolio.

Rheinmetall: patience without pretending

Rheinmetall was the most useful test of my thinking this month. At one stage the position was roughly 40% down; in the latest snapshot it is worth £89.37 and is down £29.95, or 25.10%. My thesis rests on rising European defence spending, the company's importance to Europe's military supply chain and its ability to turn a huge order backlog into production, revenue and cash. Preliminary second-quarter figures were encouraging: revenue rose nearly 70% to about EUR 3.3 billion, operating profit reached EUR 562 million and the backlog exceeded EUR 80 billion. Cash flow remained the weak point because of deferred advance payments and investment in new production.

The honest complication is that, if I had the holding's current value in cash, Rheinmetall probably would not be my first choice today. I might prefer Alphabet, Apple, the S&P 500 or another high-quality business. The relevant question is not which option gets me back to my old purchase price; it is which offers the better prospective return for the risk. I am holding because the defence-spending and backlog thesis remains intact and I have not found a clearly better opportunity - not because I need the share price to return to break-even.

I would sell if the business repeatedly failed to convert backlog into revenue and free cash flow, if European defence orders declined materially, if production problems prevented delivery, or if margins deteriorated without a credible recovery path. I would also consider a stronger defence asset. Automation and robotics may eventually improve output and margins, but expanding production can weaken cash flow before it strengthens it. The evidence I need is better delivery, cash conversion and operating performance - not simply a recovering share price.

The companies I still want to own

SpaceX remains a position I am happy to hold as one share. The latest value is £81.65, down £37.29 or 31.35%, but that price movement has not changed the reason I own it. I use Starlink, so the usefulness of the technology is not abstract to me. Orbital data centres and the wider value of launch, satellites and communications add to my confidence, although none should be treated as guaranteed earnings. If the holding became cash, I would have a real choice between buying SpaceX again and adding to gold.

Symbotic remains one of my favourite long-term assets. At £110.24, it is down £6.20 or 5.32%, and I would buy again if I had spare cash. The test is whether it can turn backlog into revenue, profit and cash. Walmart's scale gives it a serious proving ground. The second-quarter update showed 70 systems in deployment and guided for third-quarter revenue of USD 700-720 million. The next results will test consistency.

Airbnb is another business where personal experience has strengthened my view. The position is worth £139.59 and is up £20.03, or 16.75%. I recently had a problem with a stay, but Airbnb's support was extremely helpful and I received a refund. That does not tell me what the shares are worth, but it does show why customers trust the platform. Airbnb is one of the first places many people I know check when arranging a trip. The FIFA World Cup may have helped bookings across more than one quarter. Second-quarter results, scheduled for 6 August, are the next test, but I should judge the business on repeat demand, nights booked, margins and free cash flow rather than one event.

Quality, infrastructure and the core of the account

My conviction in Meta and Alphabet also remains intact. I use Meta's products every day, and I see AI as a way to improve the relevance and effectiveness of advertising rather than simply as an expense. Meta's second-quarter revenue grew 28%. Costs and expenses rose 55%, although that figure included major legal and severance charges, and the company is still committing large amounts of capital to AI infrastructure. Its new El Paso data-centre venture shows how it is financing part of that build-out: BlackRock-managed funds will own 80%, Meta will retain 20%, and Meta will initially occupy the whole campus under lease agreements. The structure gives Meta more financing flexibility, while leaving it with meaningful long-term commitments and residual-value guarantees.

Alphabet remains one of the safest individual businesses I believe I can own. I do not think AI automatically destroys Google Search; AI products still need reliable information, distribution and computing infrastructure, and Alphabet is positioned across all three. Its second-quarter revenue rose 24% to USD 119.8 billion. Berkshire Hathaway also agreed in June to invest USD 10 billion in Alphabet through a private placement, paying USD 351.81 for the Class A shares and USD 348.20 for the Class C shares. I see that as useful supporting evidence for my own conviction, but it is not a substitute for doing my own valuation work.

The S&P 500 and Nasdaq funds continue to do exactly what I want them to do: give the portfolio exposure to broad US growth without requiring every individual decision to be right. I would keep roughly the same index allocations if I rebuilt the account today. I also do not regret selling ASML for a strong realised profit, even though it continued rising afterwards, because that sale protected a gain and helped fund later decisions. Realty Income remains a slower monthly-income holding, with this period's £0.56 dividend providing nearly all the closing cash. NextEra is also worth closer attention: its proposed all-share combination with Dominion Energy would create a much larger utility group, and its second-quarter FPL net income rose to USD 1.412 billion. I had not researched the merger properly during the month, so it belongs on the next review list rather than being treated as automatic good news.

Portfolio construction and what success means

If I had to identify three long-term anchors, I would choose gold, Pershing Square Holdings and Berkshire Hathaway. The S&P 500 and Nasdaq funds are also fundamental to the structure, while SpaceX, Symbotic and Rheinmetall carry more company-specific or execution risk. Fourteen holdings is manageable only if I stay honest about which positions require deep research. I do not need to know every price every day, but I do need to know what would invalidate each thesis.

Pershing is a core holding because I trust Bill Ackman's concentrated approach and I am comfortable owning it at a substantial discount to net asset value. At 31 July, PSH reported NAV of £57.21 per share against a London price of £38.08, a discount of roughly 33%. That gap is not guaranteed to close, so it supports the thesis rather than replacing it. Berkshire gives me operating businesses, insurance, cash and disciplined capital allocation in one holding. Its Alphabet investment supports my confidence in Google, but Berkshire must still deserve its place on its own merits.

The account holds £0.56 in cash. If the market fell around 20%, I would invest new wages rather than sell a holding. I would then test whether gold had provided the protection I expect. The low-cash policy is deliberate, although it could still leave me unable to act immediately.

The comparison with my core funds is uncomfortable but useful. The portfolio is now 0.52% above its original capital, while the VUAG holding is up 14.30% and QQQA is up 20.50% in the account. UK CPI increased by approximately 1.7% from February to June, the latest comparable period available when this review was completed. These fund figures are not a perfect like-for-like benchmark because they reflect my own purchase dates, but the gap still shows the opportunity cost of my individual decisions and gives me a clear standard to monitor.

PORTFOLIO SINCE INCEPTION ↗0.52%	VANGUARD S&P 500 (VUAG) ↗14.30%
UBS NASDAQ-100 (QQQA) ↗20.50%	UK CPI, FEBRUARY-JUNE approx. ↗1.7%

Fund returns are the account's reported returns on the remaining holdings at the 6 August snapshot, so they are directional comparisons rather than a time-matched benchmark. CPI compounds the official monthly changes from March to June; July data had not yet been published.

My hierarchy of goals is therefore clear. Protecting the original £1,999 is the first rule, beating inflation is the minimum return objective, and the original 10-15% target remains an ambition. I will also compare the result with the index funds, because protecting capital does not remove the need to understand what a simpler strategy would have earned.

Behaviour, lessons and the next four weeks

My behaviour improved during this period. I checked prices less frequently, stayed involved in the research and made no impulsive trades. Rheinmetall reminded me that avoiding a realised loss is not a reason to hold; the business must still justify the capital from today. Microsoft showed the opposite danger: one quick success should not teach me that every strong feeling deserves a larger bet.

I am not planning any major purchases or sales in the next four weeks. I am more likely to hold Microsoft unless a genuinely better use for the cash appears. I will watch Symbotic's execution, Airbnb's results, Rheinmetall's delivery and cash conversion, and the NextEra-Dominion combination. The most important lesson is that I can trust my judgment when it is supported by research, while remembering that a good outcome does not prove every part of the decision was right. My instruction for the next month is simple: do not make any impulsive trades.

RULES I AM CARRYING FORWARD *Hold on the strength of the thesis, not the old purchase price; rebalance gold if it reaches 30%; and do not make impulsive trades.*

Overall conclusion

The account ended the review period almost flat and moved just above starting capital in the 6 August snapshot. The fund comparison still shows that a simpler strategy has performed much better so far. Even so, this was a useful month. Microsoft rewarded careful research, Rheinmetall tested my sell discipline, and I allowed the rest of the portfolio to move without inventing trades. My process is calmer and more deliberate than it was when I began.

The next challenge is to turn conviction into clearer rules. Gold needs an allocation limit, Rheinmetall needs a forward-looking business case, and Microsoft must be judged on the business rather than a fast gain. The right question is not whether every holding is green; it is whether each pound still has a defensible reason for being where it is.